A. EXECUTIVE SUMMARY

EXECUTIVE SUMMARY
Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Buguey for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	P118,774,133.33	P134,264,740.36	P (15,490,607.03)
Total Liabilities	50,191,956.97	73,696,173.08	(23,504,216.11)
Total Government Equity	68,582,176.36	60,568,567.28	8,013,609.08
Results of Operation			
Total Income	82,501,441.39	77,522,606.56	4,978,834.83
Total Expenses	71,213,956.46	68,659,670.77	2,554,285.69
Appropriations, Allotments and Obligations			
Appropriations - Current	99,811,635.09	82,700,838.57	17,110,796.52
Appropriations - Continuing	11,298,234.07	3,475,353.31	7,822,880.76
Allotments - Current	99,811,635.09	82,700,838.57	17,110,796.52
Allotments - Continuing	11,298,234.07	3,475,353.31	7,822,880.76
Obligations – Current	79,649,320.92	70,900,680.12	8,748,640.80
Obligations – Continuing	7,379,495.04	1,500,972.24	5,878,522.80

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2014 were P118,774,133.33, P50,191,956.97 and P68,582,176.36 with an increase/(decrease) of 12%, 32% and 13%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P82,501,441.39 and P71,213,956.46 which increased by 6% and 4%, respectively, from last year's figures.

Comparative Statement of Fund Transfers to Other NGAs and LGUs are as follows:

	2014	2013	Increase (Decrease)
Funds Received from Other Agencies			
Due from LGUs	P 635,179.00	P 635,179.00	P 0.00
TOTAL	**P 635,179.00**	**P 635,179.00**	**P 0.00**
Funds Transferred to Other Agencies:			
Due to Other NGAs	P 1,829,313.12	P 2,131,891.12	P (302,578.00)
Due to Other GOCCs	2,441.20	2,441.20	0.00
Due to LGUs	9,961,470.04	6,243,346.19	3,718,123.85
TOTAL	**P 11,793,224.36**	**P 8,377,678.51**	**P3,415,545.85**

Funds received by the Municipality from Other Agencies amounted to P635,179.00, the same with last year. On the other hand, funds transferred to Other Agencies amounted to P11,793,224.36 with an increase of 41% from last year's figures.

A. Operational Highlights

For the year 2014, the Municipality of Buguey appropriated the total amount of P99,811,635.09 of which P82,700,838.57 has been obligated as of year-end. Continuing appropriations for the year amounted to P11,298,234.07 which had a remaining balance of P3,918,739.03 as of year-end (see Annex 2).

The significant accomplishments of the Municipality during the year 2014 were as follows:

NAME OF PROJECT	SOURCE OF FUND	PROJECT COST	STATUS OF IMPLEMENTATION
1. Concreting of Rizal Street (Leron-Sta. Maria-Centro)	General and Trust Funds	7,870,000.00	100% Completed
2. Concreting of Burgos Street	General Fund	430,000.00	100% Completed
3. Construction of Maddalero Health Center	20%	1,415,000.00	100% Completed
4. Construction of One Town One Product (OTOP) Display Center	DTI BUB	1,199,840.00	100% Completed
5. Construction of Fisheries Laboratory	DTI-BUB	180,000.00	100% Completed
6. Renovation of Gymnasium	Capital Outlay	930,000.00	100% Completed
7. Renovation of Municipal Health Center	DILG-PCF	1,100,000.00	100% Completed
8. Repair of Municipal Health Center	Luzon Iron Development Group (LIDG)-LGU	300,000.00	100% Completed
9. Improvement of Legislative Building (Phase 1)	General Fund	290,000.00	100% Completed

B. Scope of the Audit

A financial and compliance audit was conducted on the operations of the municipal government of Buguey, Cagayan for the year ended December 31, 2014. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain

the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Buguey due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P99,214,288.12 as of year-end.

D. Significant Findings and Recommendations

Financial and Compliance Audit

1. **Cash in Vault amounting to P177,091.27 represents collections not deposited at the end of the year in violation of COA Circular No. 92-382 dated July 3, 1992 and Section 32, Volume I of the Manual on the New Government Accounting System for Local Government Units.**

   We recommended that all collections of the municipality should be deposited intact regularly with its authorized depository bank pursuant to the aforementioned regulation and to avoid exposing the funds to the risk of loss, misapplication or misappropriation.

2. **The Municipal Accountant did not submit Bank Reconciliation Statements for CY 2014 which is contrary to the provisions of Section 74 of Presidential Decree No. 1445 and Section 3.2 of COA Circular No. 96-011.**

   We recommended that the Municipal Accountant should regularly prepare and submit the monthly Bank Reconciliation Statements in compliance with P.D. No. 1445 and COA Circular No. 96-011. In doing so, appropriate adjustments shall be made to reconcile the bank and ledger balances and so with the cashbook balance of the Municipal Treasurer.

3. **The Municipal Accountant used the Due from Officers and Employees account instead of the Advances to Officers and Employees account in recording cash advances granted to employees for travels and other special time-bound undertaking which is not in accord with COA Accounting Circular No. 2006-001 and COA Accounting Circular Letter No. 2007-001, resulting in the misstatement of account balances in the financial statements.**

   We recommended that the Municipal Accountant should reclassify to Advances to Officers and Employees account the unliquidated cash advances at year-end relating to travels and other special time-bound undertaking. Moreover, she should now record said cash advances under the Advances to Officer and

Employees account pursuant to COA Accounting Circular No. 2006-001 and COA Accounting Circular Letter No. 2007-001.

4. **Cash advances totaling P3,161,223.75 had remained unliquidated at year-end due to the failure of concerned accountable officers and employees to settle their accountabilities and strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances as provided under pertinent provisions of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997.**

We recommended that management strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances. The Accountant should not allow the grant additional cash advance to officials and employees unless the previous cash advance shall have been first liquidated or a proper accounting thereof had been made. Earnest effort should be effected to cause the liquidation of prior year's unliquidated cash advances of officials and employees no longer employed in the municipality.

5. **The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P99,214,288.12 as of December 31,2014 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.**

We recommended that the Local Chief Executive to create a committee to conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records, pursuant to the provisions of Section 156 of COA Circular No. 92-386 dated October 20, 1992. The report on unserviceable properties disposed should likewise be submitted to the accounting office for adjustment in the books of accounts.

6. **The municipality paid wages amounting to P7,478,278.36 in hiring an average of One Hundred Fourteen (193) contractual, casual and job order personnel without clear and written Program/Policy Guidelines in hiring or engaging the services of contractual/casual/job order employees, which may result to excessive workforce, work duplication and eventual waste of financial resources.**

We recommended that management to formulate a Program/Policy Guidelines for contractual/casual/job order employees, taking into consideration the necessity of hiring and the reasonable number of contractual/casual/job order employees to be assigned in different offices in order to avoid excessive manpower and work duplication.

The policy guidelines to be formulated shall not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality and will promote optimum utilization of financial resources.

7. **The Gender and Development (GAD) Plan and Budget includes programs and activities totaling to P1,518,000.00 which do not address specific gender issues for the protection and empowerment of women as required in PCW NEDA DBM Joint Memorandum Circular 2012-01.**

We recommended that management develop a GAD Plan that would include programs, activities and projects (PAPs) that would address gender issues particularly on women's empowerment, respect, protection and fulfilment of their rights at the socio-cultural, economic and political spheres. The essential elements in GAD Planning and Budgeting such as Capability Building on Gender and Development and Institutionalizing GAD Database/Sex-disaggregated Data prescribed in PCW, NEDA and DBM Joint Circular No. 2012-01 should be observed.

Moreover, the GAD Plan and Budget (GPBs) of the municipality must be submitted to the Department of Interior and Local Government (DILG) Regional Office for review and approval and for incorporation in the annual budgets to be enacted by the Sanggunian as required under Section C.6(2) of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013.

Value for Money Audit

8. **The amount of P2,050,401.00 appropriated for 20% development projects was not utilized resulting to the non-realization of the benefits that could have been derived thereat.**

We recommended that management direct all concerned officials to implement immediately the projects under the 20% development fund for the benefit of its constituents and other intended beneficiaries as projected and planned.

9. **Unexpended balance of Priority Development Assistance Fund (PDAF) received by the municipality for calendar years 2011 to 2012 amounting to PI 22,853.83 were not reverted to the unappropriated surplus of the General Fund, contrary to Supreme Court Decision G.R. No. 209251 dated November 19, 2013, National Budget Circular No. 476-01 dated September 20, 2001.**

We recommended that management strictly comply with the Supreme Court decision and National Budget Circular No. 476-01 dated September 20,

2001 on the reversion of the unexpended balance to the unappropriated surplus of the general fund.

2. **Audit suspensions and disallowances in the amount of P360,797.31 and P2,320.00, respectively, remain unsettled as of year-end contrary to Section 5.4 of the 2009 Rules and Regulations of the Settlement of Accounts.**

We recommended that the persons determined to be jointly or severally liable for the transactions which were disallowed should settle their liabilities, and persons responsible for those which were suspended in audit should make settlement within the prescribed period, otherwise, those suspended transactions shall become disallowance, without prejudice to the institution of appropriate administrative, civil, and/or criminal sanctions against the persons determined responsible or liable pursuant to Sections 5.4 and 7.1 of the 2009 Rules and Regulations of the Settlement of Accounts of COA dated September 15, 2009.

E. Status of Implementation of Prior Year's Audit Recommendations

Out of 12 audit recommendations embodied in the 2013 Annual Audit Report, one (1) was fully implemented, three (3) were partially implemented and eight (8) were not implemented as of December 31, 2014.